



contract and pays in on the employee's behalf. If the employee leaves their job they can transfer the accrued funds to a new scheme, or continue paying in to the workplace scheme, even though they are no longer an employee at the company.

Stakeholder pensions were introduced in 2001 as a simpler, more affordable personal pension option. Aimed at low-income earners in particular, these pensions must adhere to a set of government guidelines. These include capping charges at 1.5 per cent a year for the first 10 years.

SIPPs

One of the most popular types of personal pensions is the Self-Invested Personal Pension (SIPP). SIPPs offer more investment opportunities than most personal pensions, though charges are often higher. Contributors can build their own investment portfolio by investing in a wide range of assets, including listed shares of UK and overseas companies, unlisted shares, collective investments such as unit trusts, investments and trusts, insurance bonds, and real estate (but not residential property).

Once the SIPP is up and running the pension holder can monitor investment assets and make changes to them depending on their performance. SIPP providers differ in their choice of assets; those offering the fullest array of options within HMRC guidelines are generally managed through a financial adviser.

Retirement annuity contracts and buyout policies

Retirement annuity contracts and buyout policies are older types of pension funds no longer open to new investors. Providers are obliged to pay out a minimum guaranteed sum. Buyout policies were introduced in the early 1980s, but later phased out on 6 April 1988 when personal pensions were introduced. Retirement annuities were launched in 1970, but also wound down in 1988 when personal pensions came onto the market.

TAX RELIEF AND LIVING ABROAD

Tax breaks on private pensions

Tax relief is given on contributions to private pension schemes. Contributors must ensure, however, that their scheme is registered with HMRC, as it will otherwise not be eligible for tax relief. In addition, the pension provider must invest according to HMRC's rules. Personal pension schemes must be registered with the Financial Conduct Authority (FCA) and stakeholder pensions with the Pensions Regulator. A private pension can usually be drawn on between the age of 60 and 65, depending on the provider. From the age of 55, up to 25 per cent of the total fund may be withdrawn as a tax-free lump sum.

Contributions to private pensions are tax free for:

- up to 100 per cent of your earnings per year
- up to £40,000 per year
- up to £1 million over your lifetime

Tax allowances can be topped up with unused allowance from the previous three tax years. However, if money is withdrawn from the pension pot, the full tax allowance will be lost – usually dropping from £40,000 to £10,000. There are no restrictions on the number of pension funds that may be paid into, but the tax relief thresholds apply to the total contributions made to all funds.

Retiring abroad

UK citizens living overseas can claim a pension within four months of retirement age, provided they have paid in the requisite National Insurance contributions. The pension can be paid into an overseas bank account or a UK account. Retirees to the European Economic Area, Gibraltar, Switzerland, or a country with reciprocal social security rights, will have a pension that continues to be index linked, so it keeps pace with inflation. Retirees in countries that do not have reciprocal pension rights will have their payments frozen at the rate they were when they initially left the UK.